

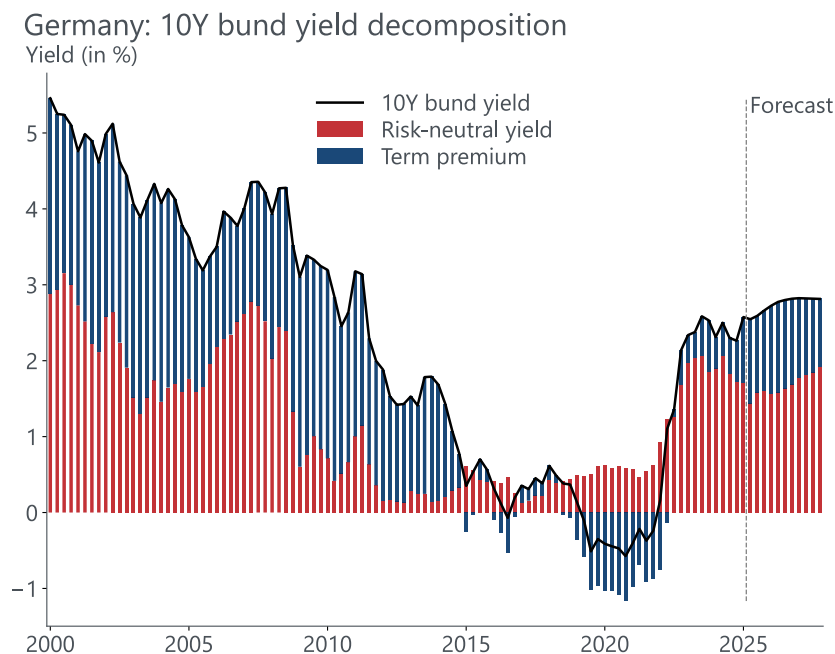
Research Briefing | Eurozone

Bund yields and the term premium to remain elevated

- We expect 10-year bund yields to increase towards 2.8% by late 2026, as the term premium remains around 1.1% and the risk-neutral yield climbs above 1.7% over the next few quarters. Although national and geopolitical events clearly drove bund yields recently, the structural post-pandemic economic shifts, such as higher interest rates and challenges to the German business model, will remain in place, keeping yields elevated.
- German yields were mainly supported by increased bund issuance due to a shift in fiscal policy, while elevated inflation volatility because of tariff uncertainty warranted a higher term premium.
- Several factors will cap the pickup in bund yields, mainly as they offer a viable alternative to US Treasuries. Germany's infrastructure and military spending will boost the economy, making it easier to service additional debt. However, the supply absorbed by private actors will surge as the European Central Bank shrinks its holdings of German bonds.
- We consider the 2.6%-3.1% range for the 10-year bund yield as a reliable anchor. The uncertainty around our forecast mainly stems from the terminal ECB rate, which is more likely to under- rather than overshoot our expectations. So, we see risks as skewed toward the lower end of the range.

The German term premium spiked to its highest level since 2014 earlier this year as global investors started to demand a considerably larger risk compensation. This rise in term premia is particularly significant given the bund's pivotal role in Eurozone financial markets. This includes higher borrowing costs for governments, businesses, and households, and the potential for sharp shifts in term premia to amplify financial market volatility by affecting asset prices and risk spreads.

Chart 1: Bund yields are set to rise with a term premium contribution of above 1%



Source: Oxford Economics/Deutsche Bundesbank

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The main reason for these recent moves has been Germany's [fiscal sea change](#) that is expected to add around €600bn in issuance by the end of the decade. Some of the rise in the term premium has reversed since worries around US safe-haven status emerged after US 'liberation day'. But this still leaves the term premium around 1.1%, up massively from its low of -1.4% during the pandemic, when flight to safety and the announcements of the European Central Bank's pandemic emergency purchase programme (PEPP) brought the term premium lower ([Chart 1](#)).

Fiscal sea change and geopolitical events drove the term premium recently

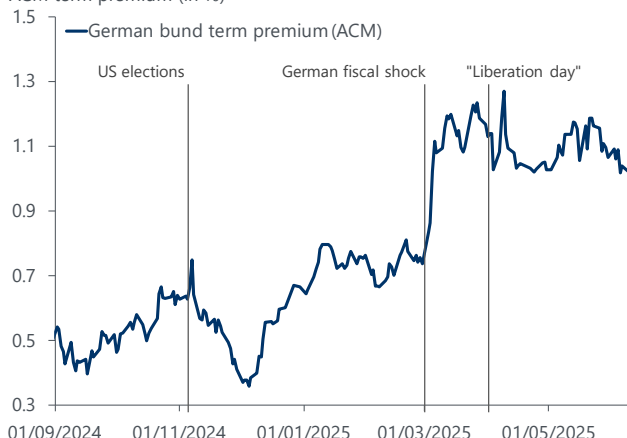
Investors are seeking greater compensation for the heightened uncertainty associated with holding long-term bonds. This can be attributed to a combination of domestic and global factors. Although higher inflation drove up interest rates in the aftermath of the pandemic, term premia were raised by the war in Ukraine, growing risk to the German economic model, and the recent radical shift of the fiscal outlook.

German bund yields rose from close to 2% in early December last year to nearly 3% in March. We find that this was predominantly a response to macro news like the new German government's fiscal sea change. The prospect of fiscal stimulus pushed up the expected nominal policy rate in anticipation of higher growth and inflation. At the same time, the term premium rose even more strongly, likely due to the larger-than-expected bund issuance and the higher uncertainty around the growth impact's magnitude and the inflation overshoot because of capacity constraints. This partly reversed following the US 'liberation day' when the term premium drove yields lower as Germany emerged as a safe-haven alternative for US Treasuries ([Chart 2](#)).

Chart 2: Germany's term premium rose following the fiscal package but fell after 'liberation day'

Germany: 10Y bund term premium

ACM term premium (in %)



Source: Oxford Economics/Deutsche Bundesbank

Structural drivers for higher term premium remain in the short run

We analyse how structural factors contributed to changing term premia in the past and assess how the outlook for these factors is set to evolve ([Appendix](#)). Our analysis shows that the large term premium rise over recent years and its more recent spike were broad-based across the economic drivers we identify.

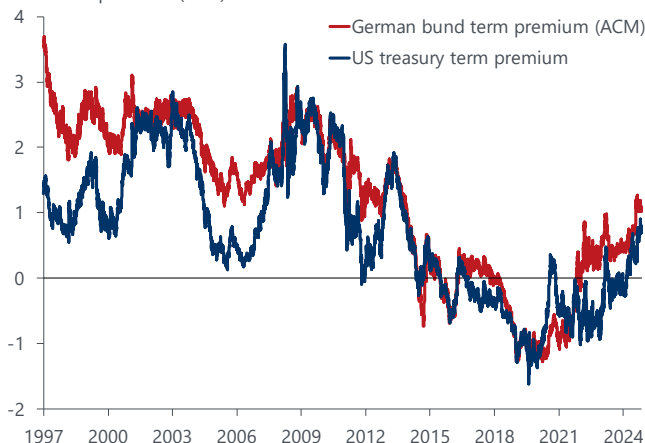
Moreover, there is little reason to expect the upward pressure from the term premium on bund yields to significantly abate in the coming years. The US term premium, which we label as the "global factor", has largely evolved in line with the bund term premium in the past ([Chart 3](#)). While we currently estimate the US term premium to be at around 0.7%, a simulation using our Global Economic Model (GEM) suggests this level could rise to around 0.9% by 2030.

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Chart 3: Term premia usually exhibit a strong co-movement

Germany: Sovereign term premia

ACM term premium (in %)



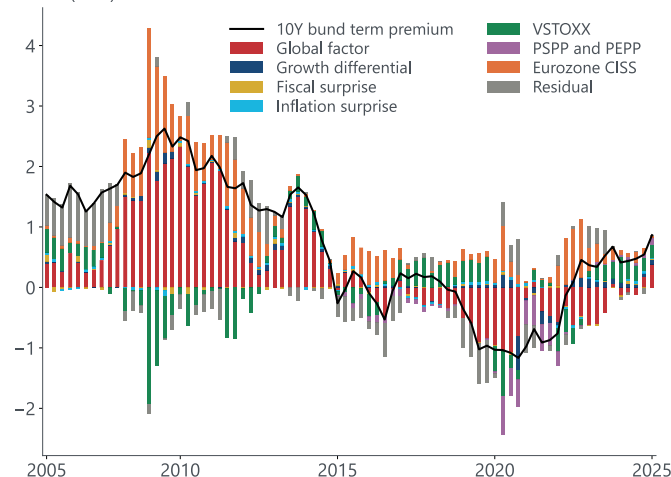
Source: Oxford Economics/Deutsche Bundesbank/New York Fed

But there is a large idiosyncratic component which pushed bund term premia above the US. The recent divergence coincides with Germany's economic malaise and threats to its business model that were exacerbated by surging energy costs following the war in Ukraine. We find that a deteriorating growth outlook vis-à-vis the US, systemic stress in the Eurozone, the ECB's balance sheet reduction, and an expected rise in Germany's fiscal deficit contributed to a rising term premium in recent quarters (**Chart 4**).

Chart 4: Uncertainty, QT, and fiscal expansion pushed up the term premium recently

Germany: 10Y bund term premium decomposition

Yield (in %)



Source: Oxford Economics/Deutsche Bundesbank/Haver Analytics

As expected, a flight to safety in response to market uncertainty, proxied by the VSTOXX index, reduces term premia. The flipside to this is that periods of low volatility lead to higher term premia necessary to compensate investors for the otherwise lower-yielding sovereign bonds.

Factors supporting the term premium are here to stay

In the medium term, we expect the term premium to stabilize around 100bps and the 10-year bund yield to be 2.8%. This is a large shift from 2015-2019, when the term premium was virtually zero on average and the 10-year bund yield stood at around 0.3%.

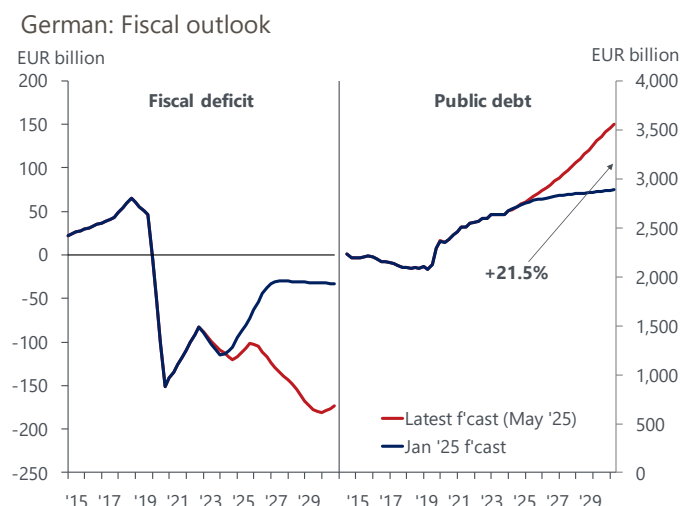
On balance, we think the factors that led to a higher term premium in recent months are here to stay. Foremost, although we think that markets somewhat overreacted to the news of the radical shift of

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Germany's fiscal policy, the impact of the new spending plans on the stock of debt is far-reaching. Our forecast assumes that the annual deficit will exceed 3% of GDP and average close to €150bn until 2030, almost four times more than we assumed in January. This will lift the stock of debt to €3.5trn at end-2030, over a fifth more than we expected at the start of the year (**Chart 5**).

With around 80% of the additional spending needs to be financed by the issuance of federal bonds, this will expand the bund supply by around €600bn to €2.5trn by 2030.

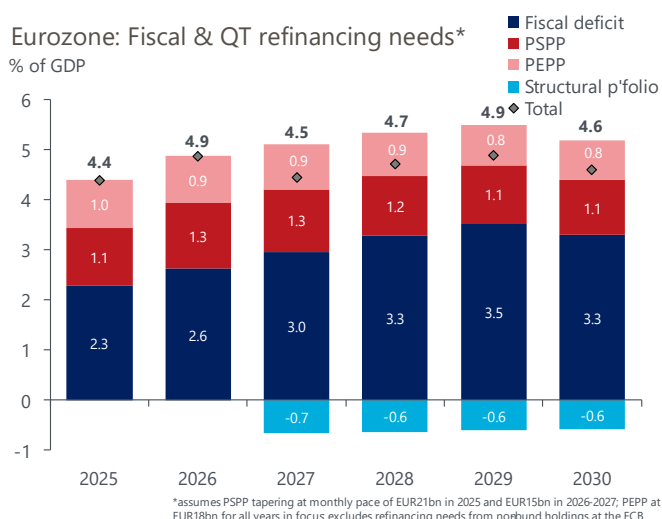
Chart 5: We materially increased our forecasts of the German fiscal shortfall



Source: Oxford Economics/Haver Analytics

This is a notable increase, although not the only source of the free float of bonds. As we discussed in a [recent briefing](#), the ECB sped up its quantitative tightening (QT), tapering the public-sector purchase programme and PEPP envelopes, which still contain around 30% of total supply of bunds outstanding. Together, the deficits and QT mean that by end-decade around 4.5%-5% of GDP worth of bunds will need to be absorbed by the private sector annually (**Chart 6**), a total of €1.4trn by 2030.

Chart 6: Refinancing needs will come from deficits and QT



Source: Oxford Economics/Haver Analytics/Finanzagentur

The impact of the shift in fiscal policy is reflected by the so-called asset swap spread (ASW), defined as a difference between the 10-year swap rate and the bund yield of corresponding maturity. As we reported [earlier this year](#), the spread turned negative for the first time in history in December 2024 and remained

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close to zero since (**Chart 7**), signalling the additional premium that the bond holders require, likely due to the [bond supply outstripping demand](#).

Chart 7: ASW remains well below historical norms

Germany: 10Y swap spread

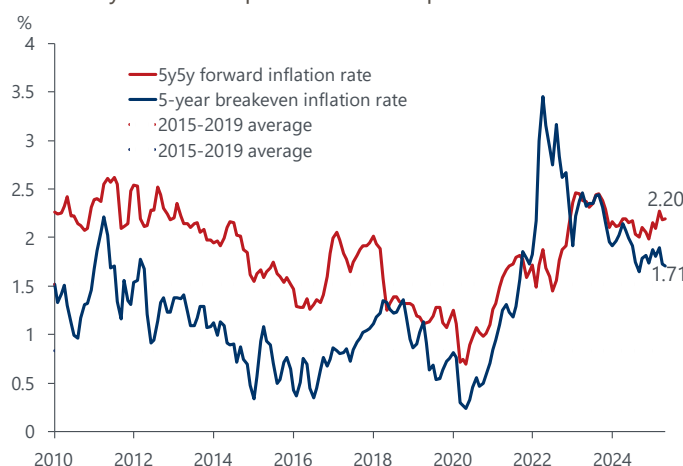


Source: Oxford Economics/LSEG Datastream

Higher and more volatile expected inflation (**Chart 8**) might erode the real return of bonds, especially if it feeds into ECB's decisions, which is why bund holders are requiring greater compensation in the form of higher yields.

Chart 8: Market measures of inflation expectations are historically elevated

Germany: Market-implied inflation expectations



Source: Oxford Economics/Haver Analytics

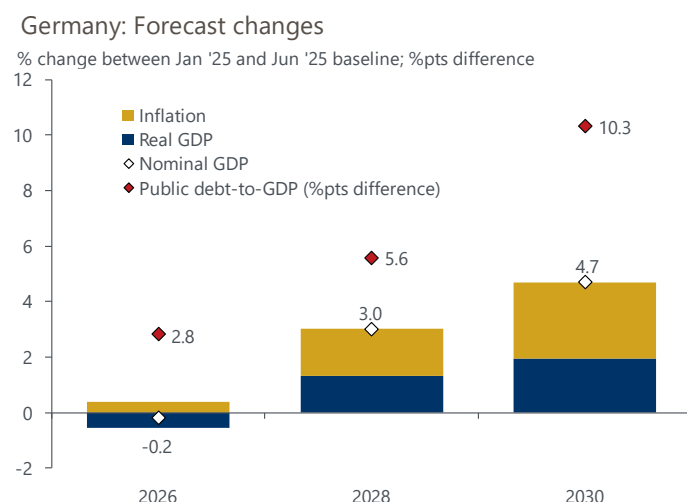
Support for yields will be kept in check by a larger economy and higher foreign demand

At the same time, several factors will keep a lid on the pickup of the bund yield, all but preventing its stabilization above 3%.

Foremost, the increase in nominal federal debt should not be analysed in isolation to its impact on the real economy. By 2030, the new spending on infrastructure and defence is bound to increase the size of the German economy by 1.9% and boost the price level by 2.7%, but the impact on the debt-to-GDP ratio will be more modest than the nominal figures suggest (**Chart 5**). The ratio will pick up only around 3ppts of GDP to 65.7% of GDP by end-decade, even though that's still a full 10ppts higher than we assumed in January (**Chart 9**).

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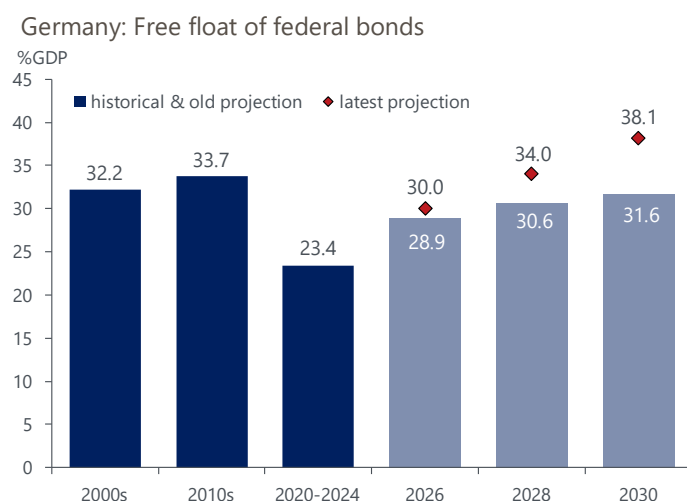
Chart 9: Higher GDP and inflation will moderate the impact of spending on the debt-to-GDP ratio



Source: Oxford Economics/Haver Analytics

Although the wider deficits together with the ongoing QT will boost the free float of bunds (that is, bunds not held by the central bank or other public sector agencies), their supply relative to the size of the economy will surpass the 2010s average only in 2028 and will be only modestly higher than that by end-decade (**Chart 10**). With the safe asset demand set to keep increasing, we see little reason why markets would struggle to absorb the new supply.

Chart 10: Free float of bunds will rise relative to the size of the economy, but only gradually



Source: Oxford Economics/Haver Analytics

Indeed, the foreign demand for bunds is likely to absorb a fair share of the additional supply, as international investors are willing to diversify away from US Treasuries given the elevated policy uncertainty in the US diminishing their appeal. Foreign private and public-sector investors [historically dominated the demand for bunds](#) and increased their [share of bund holdings](#) to 49% from 39% since end-2022, pointing to resilient demand. We expect them to step in and take on most of the additional supply, not least due to tight liquidity management rules prioritizing the safest and most liquid securities.

Uncertainty around the terminal bund yield is high

The long list of factors affecting the bund yield means that the uncertainty around our forecast for the terminal yield is high. Specifically, the end-point for the ECB easing cycle is uncertain. Our forecast of the terminal bund yield is based on the expectation of the deposit rate remaining at 2% in the medium and

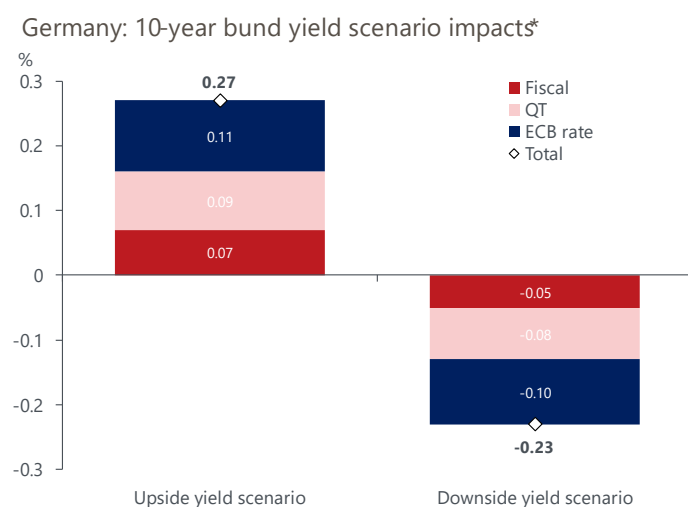
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long term. Likewise for the term premium, we see two-sided risks to all the listed factors, with the scale of the fiscal easing in Germany to the fore.

With the multitude of forces at play, we employed our in-house GEM to gauge the likely range of uncertainty around our terminal bund yield call of 2.8%. We built two scenarios: one assumes that the German fiscal splurge is even higher as the new coalition agrees on a debt break reform, QT proceeds faster, and the ECB decides to keep a higher terminal policy rate relative to what we assume; and the other is all but a mirror image of the first, with German spending undershooting expectations, leading to a lower pickup in the bund supply, QT proceeding slower than anticipated, and the ECB opting for a lower terminal policy rate. The detailed assumptions are described in the Appendix.

In the first scenario, the bund yield stabilizes at around 3.1% in the medium term, with two-thirds of the impact driven by the higher term premium and the remainder by the higher expected ECB rate. In the second scenario, the impacts are more even, with the bund yield stabilizing just below 2.6%.

Chart 11: Scenarios imply that the terminal bund yield might deviate by 20bps-30bps in either direction



Source: Oxford Economics/Haver Analytics

As a consequence, we consider the 2.6%-3.1% range as a viable span for the terminal bund yield. But given risks are skewed to the lower terminal ECB policy rate as well as German stimulus undershooting expectations, we think the lower end of the spectrum is more probable.

In any case, we think elevated bund yields will keep the rest of the Eurozone yields high too. This will keep borrowing costs higher than in the pre-pandemic period, primarily in lending markets tied to the long end of the curve. Chief examples are mortgages and consumer credit. But corporate bonds are priced off the government bond yield curve too, meaning that the cost of capital is likely to be important for them as well. We think that the sectors that stand to lose from the high bund yields are the ones dependent on bank lending such as real estate, construction, and parts of capital goods manufacturing. To the extent that higher bond yields hinder corporate borrowing, they will also weigh on investment activity.

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Appendix

Term premium

We base our estimates on the Adrian, Crump, and Moench (JFE, 2013) term premium model. The ACM framework employs an affine term structure model in which yields of different maturities are expressed as functions of a handful of unobservable factors that evolve stochastically through time. These factors, called level, slope, and curvature of the yield curve, are estimated using state-space techniques, aligning the model with observed sovereign yields. We apply the method to Treasury yields, verifying our results with data published by the New York Federal Reserve. Next, we obtain Svensson model yield curve parameters from the Deutsche Bundesbank to apply the ACM model to bund yields.

Decomposition

The decomposition relies on distinguishing between "risk-neutral" yields – reflecting average expected future short rates in the absence of risk – and "physical" yields, that is the observed yields. The term premium is defined as the difference between the observed yield and the risk-neutral yield at each maturity. This allows us to gauge whether movements in long-term yields are driven by changing expectations of monetary policy or shifts in risk sentiment.

OLS regression

We employ a regular ordinary least squares framework to regress the level of the term premium using the ACM method on several explanatory variables. We define "global factor" as the US term premium, as it captures a number of broader trends that are not specific to developments in the Eurozone or Germany in particular. "Growth differential" is defined as the expected two-quarter-ahead GDP growth of the Eurozone versus the US. "Fiscal" and "inflation surprise" capture the average forecast revision per quarter for government deficit and inflation in Germany based on historic Oxford Economics forecasts. We use the "VSTOXX" to capture market volatility, essentially a proxy for flight to safety. Given the relevance of monetary policy intervention in markets over the assessed period, we also include "PSPP/PEPP" measuring net asset purchases by the ECB. Finally, "Eurozone CISS" is a measure of systemic stress in the Eurozone.

GEM simulation

We use our proprietary GEM to estimate the trajectory of the bund term premium based on historical relations between benchmark yields and economic fundamentals.

Table 1: Bund yield scenario assumptions

	Upside yield scenario	Downside yield scenario
German government investment	Public investment volume picks up gradually to 10% above the level in the current baseline by end-decade. This translates into nominal investment outlays larger by a cumulative €85bn by end-2030.	Public investment volume picks up more slowly than currently assumed and, by 2030, is 20% below the baseline. This translates into nominal investment outlays smaller by a cumulative €150bn by end-2030.
German government consumption	Public consumption volume picks up more strongly in the near term and reaches 7% above the current baseline by end-decade.	Public consumption rises only modestly in real terms over the next five years and is 4% below the baseline by 2030.
ECB response	In line with the stronger internal demand, the ECB opts for the terminal policy rate 25bps above our current assumption.	In line with the weaker internal demand, the ECB opts for the terminal policy rate 25bps below our current assumption.

Source: Oxford Economics